

# Strengthen CORPORATE GOVERNANCE With DIGITAL



Srividya Kannan is founder and director of Avasi Solutions

**T**here are always new, grander challenges to confront, and a true winner will embrace each one”—this famous quote holds true for every corporate. Digital business models add significant value in the form of process agility, allowing business users to work in a fast-paced, collaborative environment where they can achieve more with less. However, with all these opportunities, digital technology also brings with it several challenges in the form of compliance and security.

Corporate governance is a hot topic in boardrooms. With digital really opening out an organisation's ecosystem engagement with external stakeholders in the form of increasing social presence, its brand needs to be protected. Reputational, legal and security risks of the enterprise magnify in a digital world where enterprise information can be accessed anywhere and from multiple devices. While the strategy, internal audit, risk and quality groups have their stakes in monitoring and improving governance, the Board has an equal stake to put together a mechanism that

proactively identifies and scrutinises unpredictable risks.

Globally, almost half a billion mobile devices and connections were added in 2016. Smartphones led a large part of that growth followed by M2M modules. Over 600 million application downloads are estimated to have taken place daily in 2016.

Interestingly, Gartner had predicted in 2016 that the demand for enterprise application development will outstrip supply by five times. Citizen development (creating new business applications for consumption by others using development and runtime environments sanctioned by corporate IT) is poised to significantly grow in the next five years. What this means is that business users across departments can develop their own applications using the infrastructure and environment sanctioned by IT. The introduction of agile development process, DevOps, service-oriented architecture, virtualisation and cloud, are all supporting the huge growth both in terms of volume and complexity in application development.

According to some recent reports, majority of the CEOs (over 75 per cent) recognise that technology is going to be a major influencing factor to drive the future of their organisation. It is probably as influential as market or economic factors.

While digital technology adds immense opportunities to create new business models and improve agility and customer engagement, it also brings with it several risks. While this is true for every organisation, the need for digital governance gets only more critical for companies that operate in a regulated market. Several enterprises are putting digital governance into their corporate agenda, which takes into consideration regulatory requirements, cybersecurity risks and implication on the brand reputation.

The old ways of addressing corporate

